



Physiocracy-Contributions

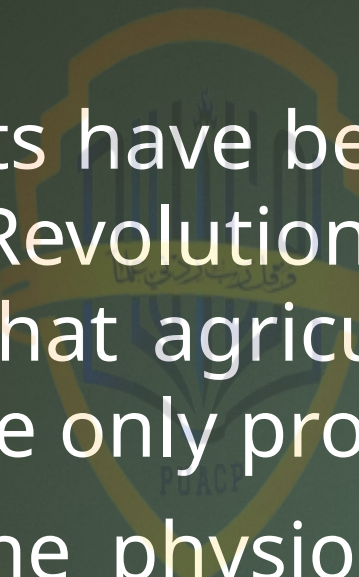
HISTORY OF ECONOMIC THOUGHT- ECON 304

SEMESTER V

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Physiocracy-An Introduction

- ▶ Physiocracy is the collective name of those economic principles and policies which developed in France during the 18th century.
- ▶ The term physiocracy means 'Rule of Nature'. Economic thinkers who contributed to the growth and development of physiocracy have been designated as physiocrats.
- ▶ In other words, the physiocrats were a group of writers who developed a body of economic theory in France in the eighteenth century. Their publication covered the period from 1756 to 1778.

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- ▶ Physiocrats have been regarded as ancestors of the 'French Revolution.' Physiocrats developed the doctrine that agriculture was the sole source of all wealth, the only productive occupation.
 - ▶ Though the physiocrats wrote only for a relatively short period, their ideas had a profound influence on the economic thought. That is why they are regarded as the founders of the science of political economy.
 - ▶ Physiocracy may be defined as a reaction against Mercantilism and its concepts.

EVOLUTION OF PHYSIOCRACY

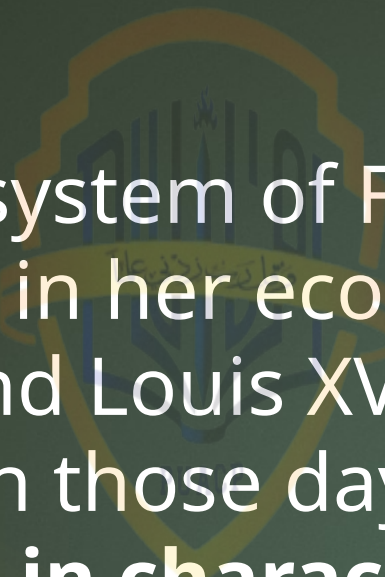
Physiocracy had its root in the then existing economic conditions of France which were mainly the result of mercantilist policy. There were many economic, political and social factors responsible for its origin

1. Physiocracy was basically a revolt of the French against mercantilism.

- At that time, the condition of agriculture was miserable. There was need for an economic theory to prove that the pursuit of mercantilist policies was harmful to the progress and wealth of the nation. And the physiocrats provided the theoretical basis to attack mercantilism.
- The main objective of physiocrats was to recognize the French economy by means of tax reform and by promoting a system of efficient and large scale farming

2. The policy followed during the supremacy of Louis XV and Louis XVI under the blind influence of the maxim 'I am state', led **to steep deterioration of economic and social conditions in France.**

- Corruption and degeneration of the court life was at its height. The king was interested in leading a luxurious life with its accompaniments of pomp, extravagance and debauchery.
- The finances of French Government were in bad shape. The unnecessary wars and the luxurious life at court made the government bankrupt and the government started borrowing loans under unfavourable conditions.
- Physiocracy was the direct outcome of the miserable conditions in France.



3. The tax system of France had seen the worst system of taxation in her economic history during the reigns of Louis XV and Louis XVI. The direct tax system was prevalent in those days in France. **Taxes were regressive in character.**

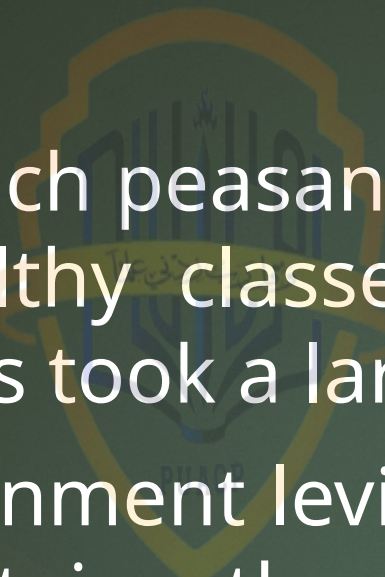
- The religious class and the nobles, who owned nearly two thirds of land, were exempted from paying taxes on their agricultural lands while the farmers had to pay heavy taxes. Since the clergymen and nobles were exempted from the tax, the burden fell upon peasants and artisans

4. The worst of all taxes was a tax which was levied on salt.

According to law, every person above the age of seven was required to purchase at least 7lbs of inferior quality salt yearly. This salt could be used only for eating purposes. Any person who used it for any other purpose was to pay heavy fine.

At that time, taxes were imposed several times from the manufacturing stage Physiocracy to its final disposal to the consumers. These taxes increased the price of commodities. Again farmers were required to pay the charges for the use of roads and bridges.

The tax collections were highly atrocious in their attitude towards peasants. The tortured life led by farmers gave further impetus to the physiocrat policies and doctrines



5. The French peasants were exploited by the nobles and other wealthy classes by a number of methods. The landowners took a large share of the produce.

The Government levied heavy taxes. The cultivators had to pay certain other duties which narrowed down the market for their produce. The markets for agricultural commodities were restricted because mercantilist policies were in favor of manufactured goods.

Main Ideas and Theoretical Concepts of Physiocrats

- ▶ In the publication of Philosophie Rurale by Quesnay and Mirabeau, the doctrines of the Physiocratic school were expounded in an elaborate manner. Dupont's Physiocratie published in 1767 and Turgot's Reflexions published in 1769 were the most influential and important.
- ▶ It was in these writings that the physiocrats enunciated and developed their doctrines. In its theoretical aspect, physiocracy contained the following ideas- the concept of natural order, concept of net product (primacy of agriculture) and the circulation of wealth (social classes and Tableau Economique

NATURAL ORDER

- ▶ The doctrine of the law of nature was first propounded by the Greek and Roman moralists and jurists.
- ▶ According to this doctrine, man was a living being, a member of universal human society, who was impelled by the impulse of self-preservation and produced those things which are provided by nature such as land, tree, forests etc. and which were necessary for physical existence. According to Roman jurists, man is free and equal in the natural stage

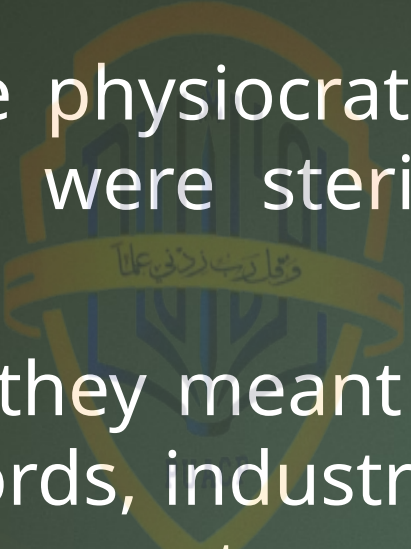
- ▶ In fact, physiocracy has been described as 'the science of the natural order.' According to the physiocrats, the natural order is an ideal order given by God.
- ▶ Natural order was quite different from the positive order made by man. In other words, the society which was governed by the laws of nature was an ideal society and the society which was governed by positive laws made by government was an imperfect society.
- ▶ The natural order was quite evident to the intelligent people. The moral and religious philosophy of physiocrats was reflected in their concept of natural order. They believed in God. And they considered that the natural order is the work of God.
- ▶ According to Quesnay, "Natural order is merely the physical constitution which God himself has given the universe." They considered that only the natural order will increase happiness of mankind.

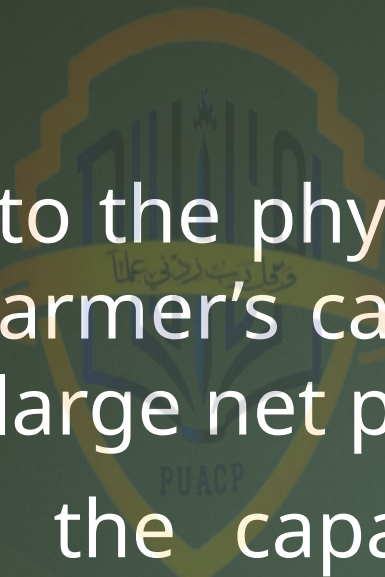
- ▶ According to physiocrats, the human society was governed by two kinds of laws- natural laws and positive laws.
- ▶ Natural laws were those laws which guaranteed natural rights to man and were governed by human society in those days when there was no state or legislature.
- ▶ On the other hand, positive laws were the creation of man and they were obligatory simply because a penalty was attached to them. The positive laws were therefore strictly subordinate to the natural laws
- ▶ The natural order implied that only under conditions of freedom, man can enjoy the maximum happiness and derive maximum advantage in economic matters.

- ▶ It followed there should be minimum interference of government in economic affairs. It must confine itself to such things as protecting life and property. In other words they advocated laissez faire.
- ▶ According to physiocrats, the aim of all economic effort should be to secure the greatest amount of pleasure with the least possible outlay. When everyone does this, the natural order will be better assured instead of being endangered.
- ▶ The interest of individual is best served in a free system and the interest of individual and the community were the same.
- ▶ The physiocrats believed that the individual interests were identical with the interests of the society and every man could be trusted to find out for himself the best way of attaining maximum advantage

PRIMACY OF AGRICULTURE

- ▶ According to physiocrats, land occupied a predominant position as an agent of production. They thought that agriculture was supreme among all occupations.
- ▶ To them, the origin of all wealth lay in agriculture and this wealth consisted of real produce. According to physiocrats, agriculture produced much more than what was required to satisfy their needs. Whatever was produced in excess of the produce, required for the sustenance of the farmers, was used for meeting the needs of the persons engaged in commerce, industry and other professions.
- ▶ They introduced the idea of surplus resulting from the reward of nature which they called net product. In agriculture alone, the wealth produced was greater than wealth consumed. To them, commerce and industry are the branches of agriculture. Le Tronsne said, "labour applied anywhere except to land is absolutely sterile for man is not a creator."

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- ▶ Though the physiocrats described that industry, trade and professions were sterile, they never said that they were useless.
 - ▶ By sterility they meant the incapacity to produce a surplus. In other words, industry was unproductive in the sense that it produced no extra wealth. Sterile class, to them, consisted of those who drew their incomes second hand or who exchanged or transferred value without the creation of any surplus.
 - ▶ They simply reproduced the value consumed in the form of raw material and subsistence for workers. Consequently commerce, industry and foreign trade were sterile or unproductive.

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- ▶ According to the physiocrats, the entire nation depends upon the farmer's capacity to invest a large capital and produce a large net product.
 - ▶ The lower the capacity of the cultivators to invest capital, the smaller will be the size of net product, and the smaller the size of the net product, the greater will be the suffering of the nation.
 - ▶ They advocated a light tax on agriculture. They also desired that the government should avoid such measurements which adversely affect the investment in agriculture.

THE CIRCULATION OF WEALTH AND SOCIAL CLASSES: TABLEAU ECONOMIQUE

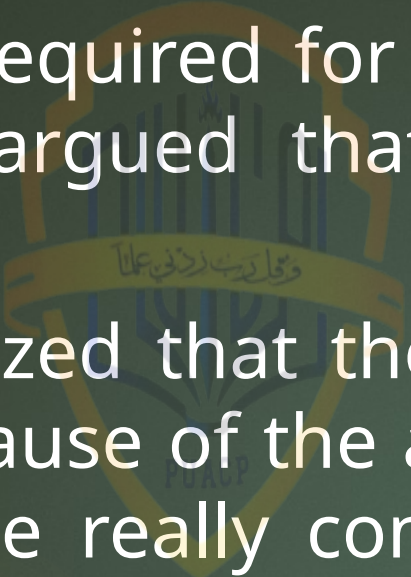
- ▶ The physiocrats advanced their theory of circulation of wealth in society which is based upon the concept of net product.
- ▶ They were the first to attempt and analyze in a systematic way, the circulation of wealth in economy. The credit of putting the whole idea in a systematic and coherent form goes to Quesnay.
- ▶ Quesnay has studied Harvey's theory of blood circulation and extended this biological idea to the field of economics. By attempting an analysis' of this phenomenon, a synthesis of production and distribution was attained.
- ▶ This laid the foundations for a number of future fields of study in economies. The ideas regarding the circulation flow of wealth have been given by Quesnay in 1758 in the form of table called the Tableau Economique. The Tableau Economique is a graphical representation of the way in which the circulation of wealth takes place

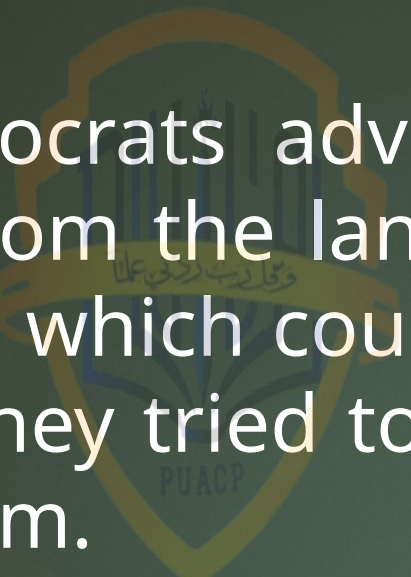
Social Classes:

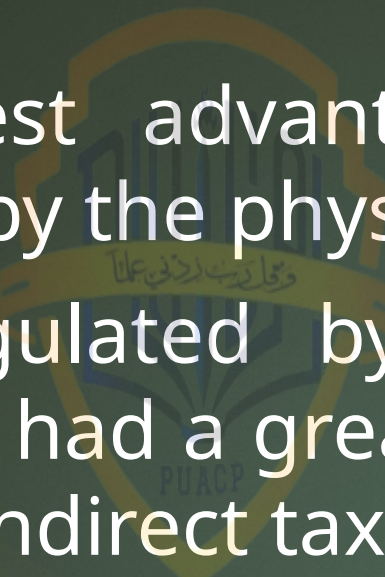
- ▶ **The Productive class-** Productive class consists of the cultivators of soil. They extract wealth from the soil and pay rent to the landlords who pay the expenses of cultivation or make annual advances to cultivators for seeds, subsistence of farmers and their families, maintenance of livestock and implements
- ▶ **The Proprietary class-** The class of proprietors includes the owners of the land (landlords), the king, his councilors, the nobility and clergy.
- ▶ **The Sterile class-** This class consisted all those engaged in non-agricultural occupations. Merchants, artisans, craftsman, manufacturers, shopkeepers, domestic servants and other professionals formed this class. (For detailed study see pg 48 onwards of shared notes)

TAXATION

- ▶ The physiocratic theory of taxation is bound up with the theory of the net product. According to them, national income was shared by the producer, the proprietors and the artisans. But the sovereign is the fourth sharer of the national income.
- ▶ They believed that only the output of land provided a surplus. So they argued that taxes should be paid from the net product, for it was surplus. And they said that landed proprietors must bear the burden of taxation because the product goes to them. They said that one-third of the net product was to be paid by the proprietors in the form of taxes

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- ▶ Taxes were required for meeting the expenses of the state. The physiocrats argued that taxes must be paid liberally to the sovereign.
 - ▶ They recognized that the sovereign was a co-proprietor of land not only because of the age old tradition but also due to the fact that the state really contributed to the advances made by the proprietors in originally preparing the land for the cultivation , in maintaining and improving its fertility.
 - ▶ It does this through the construction and maintenance of roads, bridges, canals and other public works essential to the prosperity of agriculture. Thus the landed proprietors and the king belonged to the class of landowners with similar rights and duties and share in the revenue.

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- ▶ The physiocrats advocated a single tax on the net product from the land. While anticipating all possible objections which could be levelled against a single tax on land, they tried to provide an explanation for each one of them.
 - ▶ Regarding the objection that to make one single class to bear the burden of taxation was not just, and the burden of tax should be equally distributed among all classes, they said that statesman's ideal was not equal taxation, but the complete abolition of all taxation, which could only be achieved by taxing the net product.

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- ▶ The greatest advantage of a single tax on land as suggested by the physiocrats was that it was not arbitrary.
 - ▶ It was regulated by a natural form. These ideas of physiocrats had a great hand in the French Revolution. The distrust of indirect taxes is the direct result of their system.
 - ▶ Their theory of taxation is regarded as excellent demonstration of the superiority of direct taxation over indirect taxation.
 - ▶ The most interesting thing in the entire discussion was that they wanted the state to adjust its needs according to its revenue

OTHER IMPORTANT CONCEPTS OF PHYSIOCRACY

- ▶ **1. Functions of the state-** In the 'natural order' of physiocrats, the functions of the state would be reduced to the minimum. There would be very little legislation.
- ▶ From their writings, it can very well be inferred that they wished to reduce legislation to the barest minimum-abolition of useless laws and promulgation of laws which were essential for the preservation of the natural order.
- ▶ According to Quesnay, "Government should be centralized in a single person, who however should be guided by the laws of nature. They wanted every law to be an expression of that Divine wisdom which rules the universe and therefore the state was to be the 'law giver' not the 'law maker'. Thus they wanted to see the maximum authority with minimum legislative activity.

- ▶ According to Thomas Aquinas, "All those things that behave according to nature are best, for in everything nature operates for what is best. Now every natural government is performed by one only."
- ▶ He further said that as government by one ruler is best, so is government by a tyrant the worst. They said that the chief of the state should be protective sovereign and not a tyrant.
- ▶ They believed that the government run by many persons leads to discord and commotion. They were not in a favour of democratic government. Similarly, they did not support a parliamentary form of government. "Their ideal was neither democratic self-government... nor parliamentary regimes both were detested."

- ▶ And a government of third type of traders, artisans, manufacturers and merchants also did not suit them. The best form of the government which they advocated was single authority, vested with sovereign powers, but acting in conformity with the laws of nature and deriving the positive laws from these natural laws.
- ▶ The physiocrats were in favour of a national assembly but without any legislative power. The national assembly would be just a council of state whose main concern would be to look after the public works and to apportion the burden of taxation.
- ▶ According to physiocrats, the main function of the state was to do all that was necessary for the preservation of the natural order and to protect the private property. The second important function of the state was that of imparting instruction and educating public opinion. The third and most important function of the state was construction and maintenance of public works.

- ▶ **2. Trade-** Physiocrats regarded that all kind of exchange was unproductive. According to them, exchange implied only a transfer of commodity which was equal to value. Thus, it is not a means of increasing wealth for one gives as much as other receives but it is a means of satisfying wants.
- ▶ Accordingly, industry and commerce were considered unproductive. The mercantilists thought that foreign trade is the only means of increasing the wealth of nation. But the physiocrats thought that foreign trade produced no real wealth. To them foreign trade was also held unproductive. But the physiocrats were not entirely against foreign trade, they said that a country should exchange with other countries those goods which it cannot produce and those are in excess of its own consumption. The physiocrats attacked mercantilism which aimed at a favorable balance of trade. But they favored free trade.

- ▶ The natural order implied that each one would have the freedom of buying and selling wherever and whenever he chose. Free trade implied the total abolition of all those measures which the mercantilists had suggested and which aimed at restricting the trade of commodities to foreign countries and checking the free exchange of commodities. Their concept of free trade led to the theory of free trade enunciated by Walras.
- ▶ The physiocrats believed that free competition with foreign merchants alone could secure the best possible price, and only the highest price would enable them to increase their stock of wealth and to maintain their population by agriculture. So the physiocrats must be regarded as the founders of free trade. Their concept of free trade was a reaction to the policy of restricted trade as practised and advocated by the mercantilists

3. Interest- The physiocrats allowed interest on the loans which were taken for agricultural purposes, because such loans were productive. They were not in favour to allow any freedom to the money lenders. They wanted the rate of interest to be fixed by the government.

4. Population- On the subject of population, the physiocrats said that the multiplication of men was a natural corollary to the natural order. Some physiocrats were optimistic and favoured the enlargement of population. But some of them were afraid of over-population. Riviere said that -"As it is in the physical order that men thus united in society multiply promptly, by a natural and necessary parallel to that multiplication they are reduced to lack the means of subsistence if they do not, at the same time, multiply those means of cultivation"

5. Value-

- ▶ Condillac was the only physiocrat who regarded value as the foundation of the science of economics. He emphasized that value was based upon utility.
- ▶ According to him, "value is not an attribute of matter, but it represents our sense of its usefulness, and this utility is relative to our need. It increases or decreases according to expansion and contraction of our needs.
- ▶ Thus Condillac has laid the foundation of the psychological theory of value. He was also aware of the fact that value increases with scarcity and reduces with abundance.

6. Wage-

- ▶ The views of Condillac were far more advanced regarding wages as compared to other physiocrats. The physiocrats believed in the Iron Law of Wages. For instance, Turgot said that the wage of workers is only equal to what is necessary for his subsistence.
- ▶ Condillac did not refer to an 'Iron Law of wage' But according to Condillac, "wage represent the share of the product which is due to the workers as co-partners." He believed that wages were determined by the force of demand and supply

Criticism and Decay of Physiocracy

- ▶ Physiocracy was basically a revolt of the French against mercantilism. Physiocrats had their own weaknesses.
- ▶ Their views on interest, value and wages was not clear.
- ▶ Physiocrats recognised absolute royal authority as the best form of government and advocated the total exclusion of the three classes of society- nobility, merchants and manufacturers, peasantry and the labouring population –from participation in political matters; while on the other hand they were ardent advocates of individual liberty.
- ▶ They were wrong in considering agriculture alone as the productive occupation because commerce and industry are equally important and productive as agriculture.

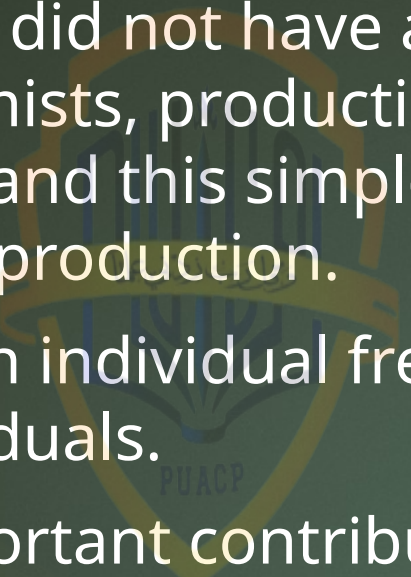
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- ▶ The physiocrats did not have a correct notion of production. According to modern economists, production meant the creation of utilities. But physiocrats did not understand this simple truth. According to them, creation of new commodities is production.
 - ▶ They believed in individual freedom. They did not want restriction of any type in the life of individuals.
 - ▶ They made important contributions to the theory of taxation. They advocated direct taxes rather than indirect taxes which affected the poorer people of the French society of their time badly.
 - ▶ The physiocrats advocated complete freedom of trade and industry. But absolute freedom of trade and industry are not advisable. If we follow the laissez-faire doctrine, there will be little scope for social action.
 - ▶ The aim of physiocrats was to develop agriculture. They regarded land as the only source of wealth. For them land alone yielded a surplus. It followed that the land owner alone should bear the burden of taxation.

Table 3.1 Difference between Mercantilism and Physiocracy

Mercantilism		Physiocracy
1	Mercantilists regarded money and bullion as the sign of wealth. They believed that Gold, silver and valuable metals are the source of prosperity and power	Physiocrats believed that natural resources and production power are real wealth.
2	According to Mercantilists, trade is the most productive occupation. They wanted expansion of foreign trade. They aimed at maximising exports and minimising imports.	According to Physiocrats, agriculture is the most productive occupation. The physiocrats regarded foreign trade as evil. They wanted to reduce foreign trade.
3	The mercantilists thought that foreign trade is the only means of increasing the wealth of a nation. According to them, only raw materials should be imported and finished commodities should be exported.	But the physiocrats thought that foreign trade produced no real wealth. Physiocrats said that a country should exchange with other countries those goods which it cannot produce and those that are in excess of its own consumption.
4	The mercantilists were in favour of balance of trade. Therefore, they suggested that import should be lesser than exports.	To physiocrats, foreign trade was unproductive. They said that the balance of trade is not always possible.
5	The mercantilists believed in regulation of trade and industry.	The physiocrats advocated freedom of trade and industry. They did not want any type of state intervention in foreign trade.
6	According to mercantilists, agriculture is unproductive and only trade is productive.	Physiocrats believed that agriculture is productive and trade and commerce are sterile.
7	The mercantilists were in favour of multi tax system.	The physiocrats advocated a single tax on the net product from the land.
8	The mercantilists allowed interest on capital .	The physiocrats allowed interest on the loans which were taken for agricultural purposes, because such loans were productive.